



“To keep our new product developments targeted and cost-prudent, we are integrating our market expansion with tech. Measures like these have helped us launch customised products and also kept costs in check”

SURESH NARAYANAN
CHAIRMAN AND MD,
NESTLÉ INDIA



“Based on the principle of ‘customised off-the-shelf’ strategy, we decided to customise our products based on specific consumer needs instead of trying to invent products on our own every time”

PRASHANT PERES
MD, SOUTH ASIA, KELLOGG

the complexity and variability in demand,” he says.

Nestlé India, the country’s largest packaged foods company, is utilising digital tech to achieve the goal of rapidly expanding its portfolio and rural footprint while keeping the costs of expansion in check. According to Chairman and MD Suresh Narayanan, the company’s drive to extend its presence—to some 200,000-odd villages, from 70,000 now with targeted product placements—is strongly backed by digital tools. It has also tied up with start-ups like Elastic-Run, a rural B2B e-commerce platform, to help boost its expansion, along with utilising the wholesale route for quicker expansion.

To keep its new product developments targeted and cost prudent, Narayanan says, the company had tied up with digital analytics start-up Midas that now helps it assimilate and take decisions based on data collected from its retailers and consumers. Measures like these have helped it launch customised products for micro-markets while keeping costs in check.

The accelerated push for digitalisation among the country’s leading FMCG players is not without rationale. Data shows that since the pandemic, consumer behaviour has changed rapidly—leading to a steep rise in sales via online channels. From ITC to HUL and Nestlé to Marico, the share of online channels to-

wards their total sales has surged by 200-300 points to 6-9 per cent. In comparison, the share of modern trade (in large-format departmental stores) remains at less than 6 per cent for the entire FMCG segment. According to experts, while modern trade continues to remain a growth prospect, its downside was exposed during the lockdowns. For instance, while at the end of 2019 the share of modern trade had surged to a record 10 per cent of the industry revenue, it plunged to zero during the lockdowns. E-commerce, meanwhile, enjoyed a dream run, while also offering convenience to consumers.

According to a report by analysts Abneesh Roy and Tushar Sundrani of Edelweiss Securities, FMCG companies are integrating their operations across suppliers, inventory management and distributor management. Earlier, they used to be separate, working in silos. “Quantifying the impact of all these initiatives and IT systems will be difficult for now. But what is certain is that it will help with a number of critical levers, right from order generation to order servicing to maintaining lower inventory, helping reduce write-offs and increase market returns,” they said. The digital push is here to stay for FMCG players. **BT**

@arndutt